STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Carrefour

Euronext Paris: CA · Consumer Staples / Food retail · France

A grocer priced at a double-digit free-cash-flow yield, with real estate worth more than the equity

OVERWEIGHT Medium conviction

Price	**€13.08**
Target (base case)	**€17.99**
Upside / downside	**+38%**
Horizon	**18-24 months**

Price: close, 29 Oct 2026

€9.3bn
Market cap

€14.2bn
Real estate (appraised)

7.7x
Forward P/E (third-party)

7.4%
Dividend yield

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OVERWEIGHT

€17.99

base-case value, +38% vs €13.08

Carrefour fell to €13 after cutting its 2026 guidance on French riots. At that price the market cap (€9.3bn) is below the appraised value of its property (€14.2bn), and even a reduced cash flow gives a double-digit yield. We buy the cash flow and the assets, not a margin recovery story.

1 Cash flow at a discount

Net free cash flow was €1.3bn in 2025 (€1.6bn excluding Italy). Even the 'slight decline' now guided for 2026 leaves a free-cash-flow yield above 10% on a €9.3bn market cap.

2 Assets cover the enterprise value

The property portfolio in France, Spain and Brazil was independently valued at €14.2bn at end-2025, above the market cap plus year-end net debt (about €13.2bn). Sale-and-leasebacks of 35 stores in October 2026 crystallise part of it.

3 A simpler group

Italy and Romania are sold, Brazil is fully owned, and the three core countries make about 85% of sales and 99% of recurring operating income. Belgium, Poland and Argentina are under review for disposal.

Carrefour at a glance

France (No. 2)

About half of sales: hypermarkets, supermarkets, convenience and e-commerce, moving toward franchise and location-gérance. ROI margin 1.5% in H1 2026.

Brazil (No. 1)

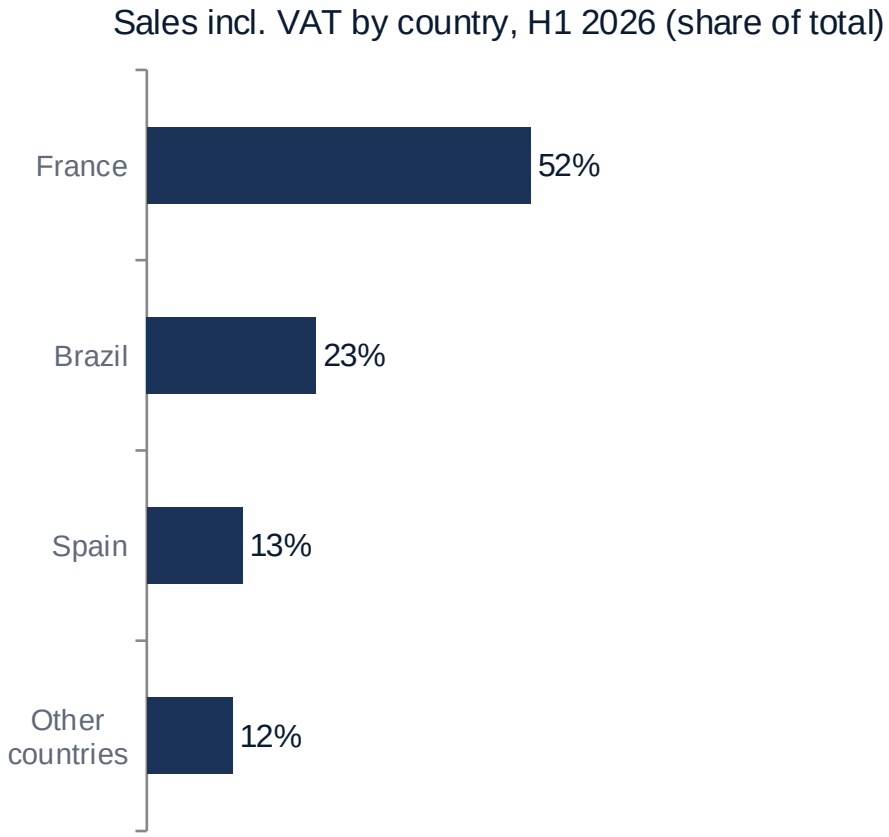
Atacadão cash & carry and retail; highest margin (4.0% in H1 2026) but exposed to rates near 15% and the real.

Spain (No. 2)

Steady growth and a 3.3% margin in H1 2026.

Other countries

Belgium, Poland and Argentina: loss-making in H1 2026 (−€34m) and under strategic review.



Source: company filings; Sales incl. VAT by country, H1 2026

What moves the stock beyond the company

€80-200m — **French unrest**

Estimated hit to 2026 recurring operating income from the October riots, looting and curfews.

200 — **Food price war**

Private-label products sold at cost to loyalty members under the 2030 plan: price investment caps margins.

~15% — **Brazil policy rate**

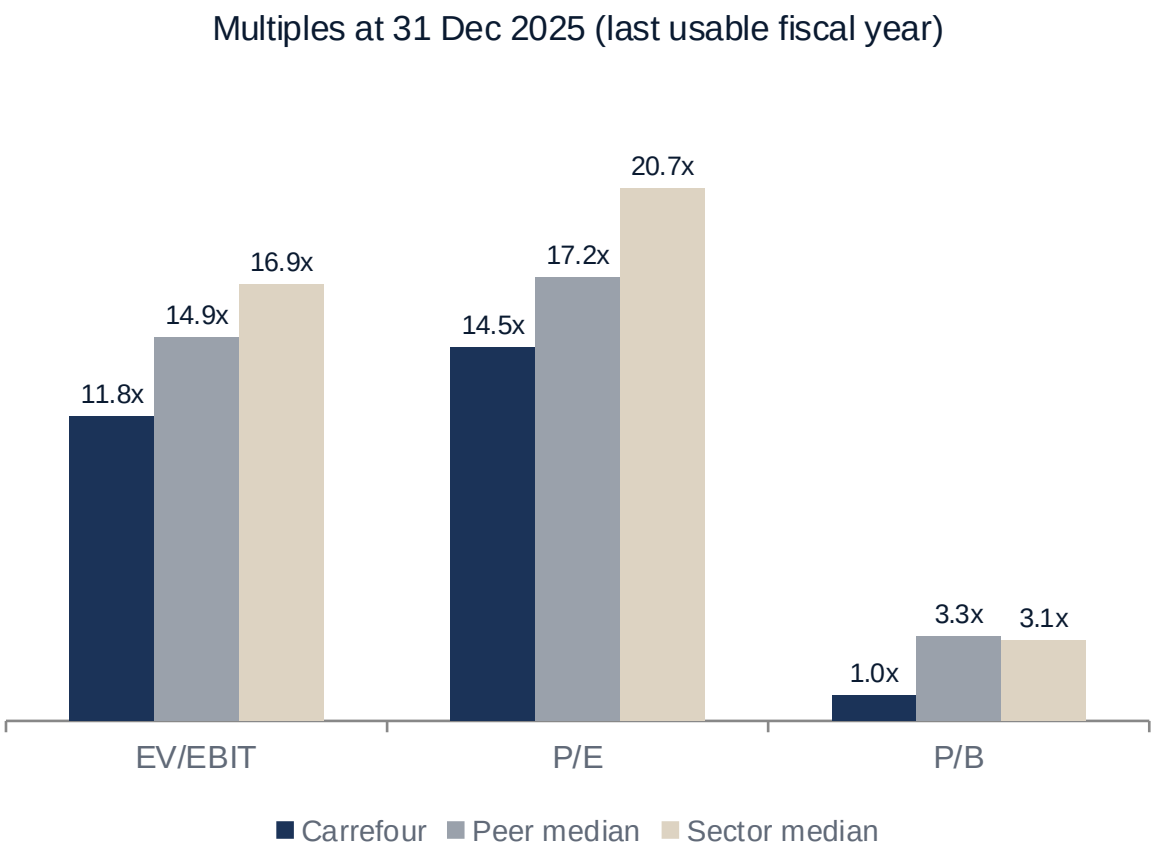
High rates hit cash & carry volumes in 2025; rate cuts would help Atacadão.

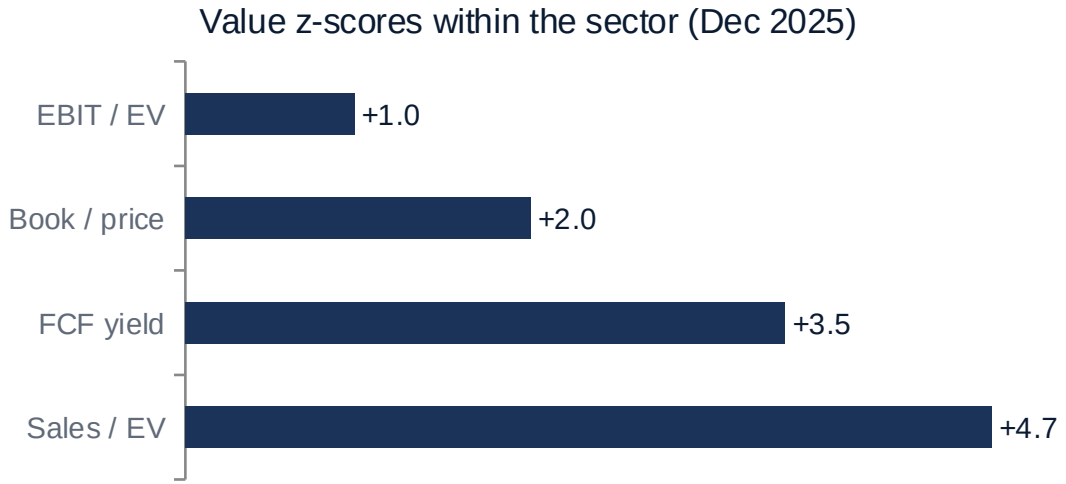
–€102m — **Currencies**

FX drag on 2025 operating income from the Brazilian real and the Argentine peso.

Source: company releases and research brief (see Sources slide)

Ranked 1 of 76 in Consumer Staples on our value score

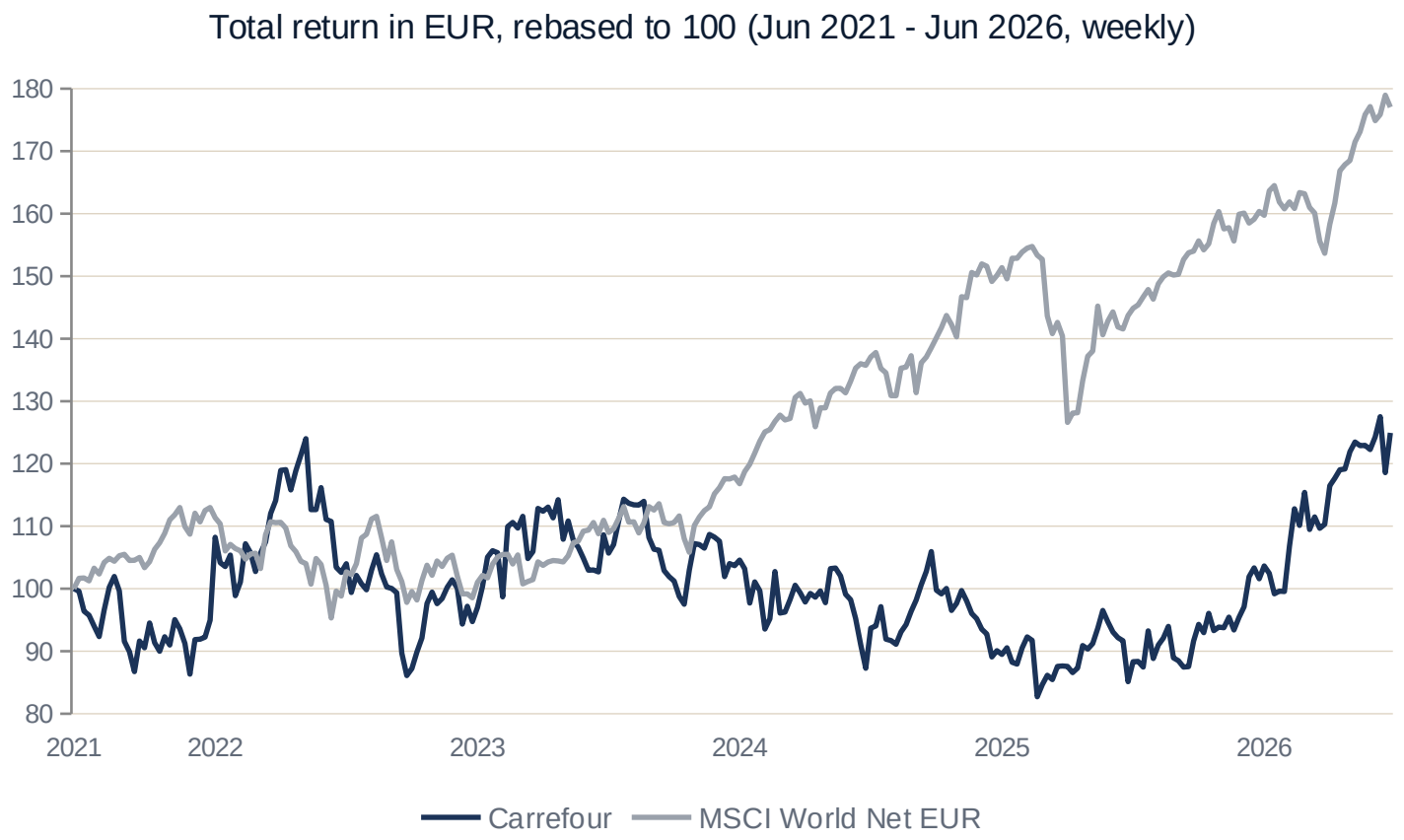




Composite score 2.79, first of 76 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended December 2024.

Source: Portfolio Project pipeline (Bloomberg data); peers: Ahold Delhaize, Tesco, Kroger, Jerónimo Martins (pipeline peer set).

Held at 8 of 10 rebalances since June 2022



+20.3%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

4.0% / 0.5%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	H1 2026	2026 guide (Oct)
Sales incl. VAT (pre-IAS 29)	—	€91.5bn	€43.8bn	—
Recurring operating income	€2.28bn	€2.16bn	€0.76bn	growth
ROI margin	—	2.6%	1.9%	+0 to +15 bp
Adjusted EPS	€1.74	€1.60	€0.49	stable to slightly up
Net free cash flow	—	€1.31bn	−€1.99bn*	slight decline
Net financial debt	—	€3.97bn	€5.85bn*	—
Dividend per share	—	€0.97 + €0.21	—	payout 50-60%

*Seasonal: working capital reverses in H2. FY2024 ROI derived from the −5.4% reported for 2025. Sources: Carrefour FY2025, H1 2026 and Q3 2026 releases.

Where we differ from the market

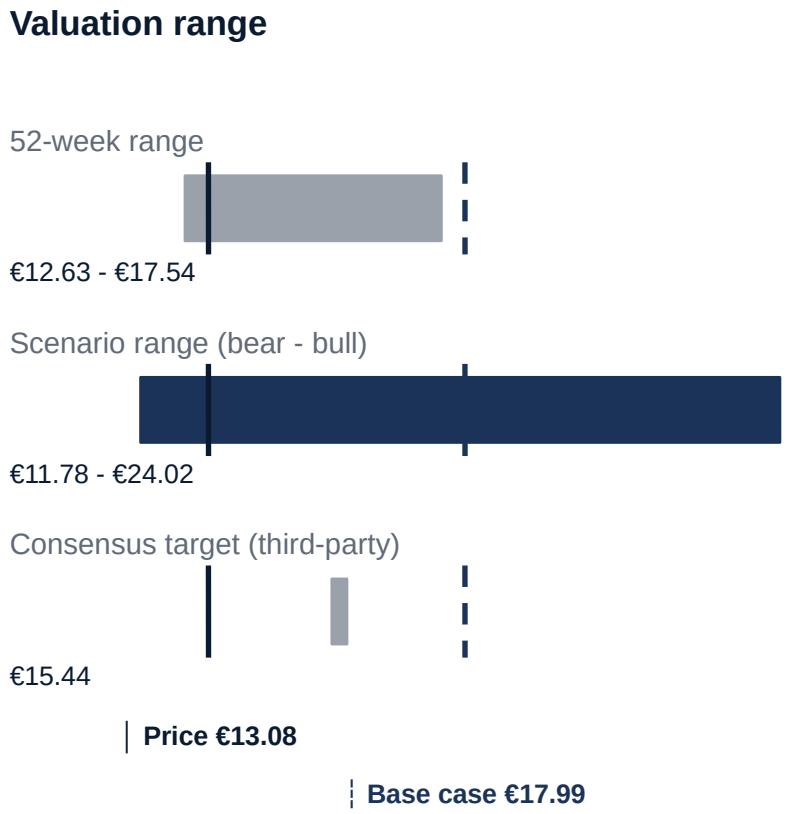
WHAT THE MARKET BELIEVES	OUR VIEW
“The French market is structurally broken”	France is a low-margin, price-war market, but Carrefour is No. 2 and the plan already prices €1bn a year of savings, half of them delivered by mid-2026.
“The riots are a lasting hit”	Management estimates €80-200m of recurring operating income at risk in 2026. That is a one-year shock on a €2.2bn profit base, not a change in earning power.
“The dividend will be cut”	This is the real risk: a 50-60% payout on flat EPS implies €0.80-0.96 against €0.97 paid. We assume a cut in the base case.

Base-case value €17.99 per share, +38% vs today

Method: Free-cash-flow yield on normalised net free cash flow

Scenario	Key inputs	Value / share	vs price
Bear	FCF €1.0bn at 12.0% yield French margin keeps falling; dividend cut	**€11.78**	**−10%**
Base	FCF €1.4bn at 11.0% yield FCF back near the 2025 level; plan delayed a year	**€17.99**	**+38%**
Bull	FCF €1.7bn at 10.0% yield €5bn 2026-28 FCF target met; disposals of other countries	**€24.02**	**+84%**

A grocer's value is its recurring cash. We divide a normalised net free cash flow by the yield an investor should demand for a low-growth, leveraged retailer (10-12%), then by 707.6m shares. The real-estate appraisal is a floor check, not part of the target.



Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

09 CATALYSTS

What could move the stock in the next 12-18 months

Nov-Dec 2026

Evolution of the French unrest; insurance and state compensation

Feb 2027

FY2026 results: dividend under the new payout policy; real-estate revaluation

Q1 2027

Decisions on Belgium, Poland and Argentina

Jul 2027

H1 2027: first test of the 3.2% margin path to 2028

2027

Brazil rate cuts helping Atacadão volumes

The number to watch: 2027 ROI margin not above 2025's 2.6%

Risks, mitigants and what would make us sell

Risk	Mitigant
French unrest persisting into 2027	Store base diversified; security costs one-off
Price investment erodes margins	€1bn a year of savings; franchise model lowers costs
Dividend reset	Already assumed in our base case
Brazil macro and currency translation	Fully owned Brazil, No. 1 position

WE SELL IF

- 2027 ROI margin not above 2025's 2.6%
- Cumulative 2026-28 net FCF tracking well below €5bn
- S&P outlook turning negative, or disposals that dilute EPS without deleveraging

Sources

[1] Carrefour, "Q4 2025 sales and FY 2025 results", press release, 17 Feb 2026

[2] Carrefour, "Carrefour 2030 Strategic Plan", press release, 18 Feb 2026

[3] Carrefour, "Q2 and H1 2026 results", press release, 23 Jul 2026 (via WebDisclosure)

[4] Carrefour, "Sales Q3 2026", press release, 20 Oct 2026 (via WebDisclosure)

[5] Reuters via Business Day, "Carrefour cuts outlook as French riots hit profits", 20 Oct 2026

[6] Il Sole 24 Ore, "Carrefour slumps in Paris, 2026 target revised downwards", Oct 2026

[7] BFM Bourse / Tradingsat, Carrefour 2030 plan market reaction, 18 Feb 2026

[8] AFP via Fortuneo, "Carrefour chute de plus de 12% en Bourse", 21 Oct 2026

[9] stockanalysis.com, Carrefour SA (EPA:CA) quote page, data as of 29 Oct 2026 (third-party)

[10] Rallies.ai, "Carrefour Q1 like-for-like sales rise 2.2% to €21.14bn, confirms 2026 targets", Apr 2026 (secondary; TO VERIFY against company release)

[11] ESM Magazine, "Carrefour to sell Italian unit to NewPrinces Group", Jul 2025

[12] Carrefour, "Carrefour announces the sale of Carrefour Romania to Paval Holding", press release, Feb 2026

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.